May/June 2014 Paper 02

Section I (Compulsory)

Question 1

1(a) Responsibilities of management

(a)(i) To society

State TWO responsibilities of management to Society. (2 marks)

- Management has a responsibility to provide goods and services of good quality at fair prices, so that members of society are not cheated or harmed by what they buy.
- Management has a responsibility to protect the environment by controlling pollution and disposing of waste properly, and to support community projects such as schools, sports and charities.

(a)(ii) To government

State TWO responsibilities of management to Government. (2 marks)

- Management must obey all the laws of the country, including business registration, labour laws, health and safety laws and environmental laws.
- Management must pay all taxes that are due, such as company tax, value added tax and the workers' contributions to the National Insurance Scheme, and must keep proper records for inspection by government officers.

(a)(iii) To owners of business

State TWO responsibilities of management to Owners of business. (2 marks)

- Management must run the business efficiently so that it earns a reasonable profit and gives the owners a fair return on the money they have invested.
- Management must protect the assets of the business from theft, damage and waste, and must give the owners regular reports on how the business is performing.

1(b) Conflict in organizations

(b)(i) Sources of conflict

Identify TWO sources of conflict within an organization. (2 marks)

- Disagreements over pay, working hours and working conditions between management and employees.
- Personality clashes and poor communication between workers or between departments competing for the same resources.

(b)(ii) Strategies for resolving conflicts

Describe TWO strategies for resolving conflicts within an organization. (4 marks)

Negotiation and collective bargaining

Management and the workers (often through their trade union) sit down together and discuss the issues that have caused the conflict. Each side states its position and then they make compromises until they reach an agreement that both sides can accept. This keeps the working relationship friendly and avoids strikes or lock-outs.

Mediation or arbitration by a neutral third party

When the two sides cannot agree on their own, they can call in a neutral person such as a labour officer or a professional mediator. The mediator listens to both sides and helps them find a fair settlement. If they still cannot agree, an arbitrator can be asked to make a binding decision that both sides must follow.

1(c) Organizational chart relationships

(c)(i) Line vs staff relationship

Outline ONE difference between a 'line relationship' and a 'staff relationship' in an organizational chart. (2 marks)

A line relationship is a direct relationship of authority where a senior officer gives orders straight down to a junior officer who must carry them out, such as a manager instructing a supervisor. A staff relationship, on the other hand, is an advisory relationship where a specialist officer (such as a legal officer or human resources officer) gives advice and support to line managers but does not have the authority to give them direct orders.

(c)(ii) Organizational chart

Construct an organizational chart to show the line relationship among the following three employees in a business: manager, supervisor of mail delivery, and supervisor of mail sorting. (3 marks)

The chart below shows the line of authority. The manager is at the top and has direct authority over both supervisors, who are at the same level under him.

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                    Manager
                       |
        ---------------------------------------------
        |                                           |
Supervisor of Mail Delivery      Supervisor of Mail Sorting
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1(d) Importance of teamwork

Discuss ONE reason why teamwork is important to the success of small businesses. (3 marks)

Teamwork combines the skills and ideas of all members so that work is done better and faster

In a small business there are usually only a few workers, and each one has different skills and knowledge. When they work as a team they share their ideas, help each other to solve problems and cover for each other when one is busy or absent. This means that customers are served quickly and well, mistakes are reduced and the business can compete with larger firms. Because the workers also feel that their

contribution matters, they are more loyal to the business and are willing to put in extra effort, which is essential for a small business that depends heavily on its few employees.

Question 2

2(a) Definitions

(a)(i) Business ethics

Define the term Business ethics. (2 marks)

Business ethics refers to the moral rules and standards of behaviour that guide how a business deals with its customers, workers, suppliers, competitors and the wider community. It is concerned with what is right or wrong in business decisions, such as being honest in advertising, paying fair wages and not selling unsafe products.

(a)(ii) Entrepreneurship

Define the term Entrepreneurship. (2 marks)

Entrepreneurship is the activity of seeing a business opportunity and then organising land, labour and capital to set up a business that produces goods or services for profit. The person who does this is called an entrepreneur, and he or she takes the risk of losing the money invested if the business fails.

2(b) Unethical business practices

(b)(i) Describe TWO unethical practices

Describe TWO unethical business practices. (4 marks)

False or misleading advertising

This is when a business uses advertisements that make claims about its products that are not true, such as saying a medicine can cure a disease when it cannot, or hiding hidden charges from customers. Customers are tricked into buying goods that do not give the benefits promised.

Selling unsafe or substandard goods

This is when a business knowingly sells goods that are expired, dangerous or of poor quality, just to make a quick profit. Examples include selling expired food, fake medicines or electrical items that have not passed safety tests. This puts the health and safety of customers at risk.

(b)(ii) Consequences of unethical practices

Outline TWO consequences of unethical business practices. (4 marks)

Loss of customers and damage to reputation

Once customers find out that a business has cheated them or sold them unsafe goods, they will stop buying from that business and will warn their friends and family to do the same. The business loses sales, profits fall and it may take years to rebuild its good name, if it can recover at all.

Legal action, fines and possible closure

Many unethical practices, such as false advertising or selling unsafe goods, also break the law. The

government can take the business to court, where it can be fined heavily, the owners may be sent to prison and the business itself may have its licence taken away and be forced to close down.

2(c) Government regulations for establishing a business

State TWO government regulations for the establishment of a business. (2 marks)

- The business must be registered with the Companies Office or Registrar of Businesses, and must obtain a Tax Compliance Number from the tax authority before it can trade.
- The business must obtain the necessary licences and permits, such as a trade licence, food handler's permit or health certificate, and must comply with the laws on building, fire safety and environmental protection.

2(d) Challenges entrepreneurs face

Discuss TWO challenges which entrepreneurs usually face when starting their own businesses. (6 marks)

Difficulty in obtaining enough capital

New entrepreneurs often have only a small amount of personal savings and find it hard to convince banks to lend them money because they have no track record of running a business and may have little to offer as security. Without enough capital they cannot buy the equipment, stock and premises they need, and the business may struggle to get off the ground or be forced to close in its early months.

Strong competition from established businesses

When a new entrepreneur enters the market, he or she has to compete against businesses that already have well-known brands, loyal customers, lower costs from buying in bulk and more experienced staff. This makes it very difficult for the new business to attract customers and to charge prices that cover its costs. The entrepreneur has to work very hard on advertising, customer service and product quality just to gain a small share of the market.

Question 3

3(a) Definitions

(a)(i) Bank rate

Define the term Bank rate. (2 marks)

The bank rate is the rate of interest that the central bank charges commercial banks when it lends them money. It is used as a tool to control the supply of money and credit in the country, because changes in the bank rate cause commercial banks to change the interest rates they charge their own customers.

(a)(ii) Liquid assets

Define the term Liquid assets. (2 marks)

Liquid assets are assets that a business or bank can quickly turn into cash without losing much of their value. Examples include cash in hand, money in current and savings accounts, and short-term government securities such as Treasury bills.

(a)(iii) Open market operations

Define the term Open market operations. (2 marks)

Open market operations are the buying and selling of government securities, such as Treasury bills and bonds, by the central bank in the open market. The central bank uses this tool to control the supply of money in the country: when it sells securities it takes money out of the economy, and when it buys securities it puts money back into the economy.

3(b) Commercial bank vs central bank

State TWO differences between a commercial bank and a central bank. (4 marks)

Customers served

A commercial bank deals directly with the general public and businesses, accepting their deposits and giving them loans. A central bank does not deal with the general public; instead it acts as banker to the government and to the commercial banks.

Main aim

A commercial bank is a private business that aims to make profit for its shareholders by charging more interest on loans than it pays on deposits. A central bank is owned or controlled by the government and its main aim is not profit but to manage the country's money supply, control inflation and keep the financial system stable.

3(c) Factors banker considers when approving a loan

Outline TWO factors that a banker will consider when approving a request for a loan. (4 marks)

The character and credit history of the borrower

The banker will check whether the customer has been honest and reliable in repaying past loans and bills. A customer who has always paid on time and has a good reputation is more likely to be approved, because the banker can trust that the new loan will also be repaid.

The collateral offered and ability to repay

The banker will look at the income of the borrower and the security or collateral being offered, such as land, a house or shares. The income must be high enough to cover the monthly payments after living expenses, and the collateral must be of sufficient value so that if the borrower fails to repay, the bank can sell it to recover the loan.

3(d) Government regulation of the financial sector

Discuss TWO ways in which governments can regulate the financial sector in a country. (6 marks)

Setting up a central bank to supervise commercial banks

The government, through the central bank, lays down rules that all commercial banks and other financial institutions must follow. These include rules on the minimum amount of cash they must keep in reserve, the interest rates they may charge and the way they must report their accounts. Inspectors from the central bank visit the banks regularly to make sure that the rules are being kept, which protects depositors and keeps the system safe.

Passing laws on financial activities

Parliament passes laws such as the Banking Act, the Insurance Act and laws against money laundering and fraud. These laws set out who may operate as a bank or insurance company, the licences they must obtain, the records they must keep and the penalties for breaking the rules. Anyone who breaks the laws can be fined, lose their licence or be sent to court, which discourages dishonest practices and keeps customers' money safe.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Differentiate between pairs of terms

(a)(i) Production and productivity

Differentiate between Production and productivity. (4 marks)

Production

Production is the total amount of goods and services that are made by a worker, a business or a country over a given period of time. It is simply a measure of output, for example the number of shirts made in a factory in one week.

Productivity

Productivity is a measure of how efficiently the resources are used in production. It compares the output to the inputs (such as labour or capital) used to make it. For example, if a factory makes 1,000 shirts a week using 10 workers, the labour productivity is 100 shirts per worker per week. A rise in productivity means that more output is being produced from the same amount of inputs.

(a)(ii) Subsistence and domestic production

Differentiate between Subsistence production and domestic production. (4 marks)

Subsistence production

Subsistence production is the kind of production in which a family produces just enough goods, mainly food, to meet its own needs, with little or nothing left over to sell. The producers do not normally use modern technology, and the aim is survival rather than profit. An example is a small farmer who grows ground provisions only to feed his own household.

Domestic production

Domestic production is production that takes place within the borders of a country and is intended for sale on the local market or for export. It includes all the goods and services made by businesses and households in the country, whether for the producer's own use or for sale, and is the basis of the country's Gross Domestic Product.

4(b) Capital-intensive production

(b)(i) Definition with examples

Define the term 'capital-intensive production', giving TWO examples. (4 marks)

Capital-intensive production is a method of production in which a large amount of machinery, equipment and technology is used compared with the amount of human labour. The cost of buying and running the machines makes up the largest share of the production cost, and only a small number of skilled workers is needed to operate the equipment. Two examples are an oil refinery, where computer-controlled machines do most of the work, and a modern car assembly plant, where robots are used to weld and paint the vehicles.

(b)(ii) Advantage and disadvantage

State ONE advantage and ONE disadvantage of capital-intensive production. (2 marks)

Advantage

Output per worker is very high and the goods produced are usually of consistent quality, because machines work faster and more accurately than people.

Disadvantage

The cost of buying, installing and maintaining the machinery is very high, and many workers may lose their jobs because the machines do the work that they used to do.

4(c) Measures to bring about greater productivity

Discuss TWO measures which production managers could implement to bring about greater productivity. (6 marks)

Training and motivation of workers

The production manager can arrange for workers to be trained in the latest methods, machines and safety procedures so that they can do their jobs faster and with fewer mistakes. At the same time, workers can be motivated through fair wages, bonuses for high output, recognition for good work and safe and pleasant working conditions. Better-trained and well-motivated workers produce more in the same time, which raises productivity.

Use of modern technology and improved methods of production

The production manager can replace old, slow machines with modern computer-controlled equipment and can introduce techniques such as production lines, just-in-time stock control and quality circles. Modern machines work faster, with fewer breakdowns, and improved methods reduce waste and idle time. As a result, the same amount of inputs produces a larger amount of output of better quality.

Question 5

5(a) Middlemen in the chain of distribution

(a)(i) List TWO middlemen

List TWO middlemen in the chain of distribution. (2 marks)

- The wholesaler, who buys goods in large quantities from producers and sells them in smaller quantities to retailers.
- The retailer, who buys goods from the wholesaler or producer and sells them in small quantities directly to the final consumer.

(a)(ii) Services performed by middlemen

Describe TWO services performed by middlemen. (4 marks)

Breaking bulk and providing variety

Middlemen, especially wholesalers, buy goods in very large quantities from producers and break them down into smaller quantities that retailers and consumers can afford. They also gather goods from many different producers under one roof, so that retailers and consumers can choose from a wide variety of products at one place.

Storage and transport of goods

Middlemen keep large stocks of goods in their warehouses so that supplies are always available when retailers and consumers need them, even when production is seasonal. They also arrange for the goods to be transported from the producer to the wholesaler and from the wholesaler to the retailer, which saves the producer and the retailer the trouble and cost of doing this themselves.

5(b) Choosing a distribution channel

(b)(i) Factors to consider

Describe TWO factors that should be considered when choosing a distribution channel. (4 marks)

Nature of the product

Goods that are perishable, such as fresh fish or flowers, need a short distribution channel and fast transport so that they reach the consumer before they spoil. Goods that are bulky or fragile may also need special handling. Durable goods such as canned foods or household items can pass through a longer channel that includes wholesalers and retailers without any problem.

The market and the customers

If customers are spread over a wide area, the producer will need to use wholesalers and retailers to reach them. If the customers are few in number and concentrated in one area, the producer may sell directly to them. The size of each order, how often customers buy and how much advice they need also affect the choice of channel.

(b)(ii) Benefits of direct distribution

Outline TWO benefits of direct distribution. (4 marks)

Lower prices and higher profit

Because there are no middlemen taking a share of the price, the producer keeps a larger part of the selling price as profit and can also offer the goods to the consumer at a lower price than goods that pass through wholesalers and retailers.

Direct contact with the customer

The producer deals face to face with the customer and so gets quick feedback about how the product is liked, what changes are needed and what new products customers want. The producer can also build a personal relationship with the customer, which encourages loyalty and repeat sales.

5(c) Distribution problems for cut flowers

Fresh Bloom Farms has decided to export cut flowers. Discuss TWO problems which may affect the distribution of this product. (6 marks)

Highly perishable nature of cut flowers

Cut flowers wilt and lose their value within a few days of being picked, so they must be moved quickly and kept cool throughout the journey. Any delay at the airport, breakdown of the refrigerated trucks or hold-up at customs can ruin the whole shipment, leading to heavy losses for Fresh Bloom Farms. Special cold-storage facilities and fast air freight are needed, and these add greatly to the cost of distribution.

High transport costs and tight quality standards in foreign markets

Sending flowers by air to overseas markets is expensive, and Fresh Bloom Farms must also meet strict quality, packaging and plant-health rules set by the importing countries. Documents such as phyto-sanitary certificates must be in order, and any flowers that fall below the standard can be rejected at the foreign port. These extra costs and rules make it difficult to keep the flowers competitive in price and to deliver them on time and in good condition.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Definitions

(a)(i) Standard of living

Define the term Standard of living. (2 marks)

Standard of living refers to the level of comfort, wealth and material goods enjoyed by the people of a country. It includes things such as the quality of food, housing, clothing, health care, education and leisure that the average citizen can afford.

(a)(ii) Economic growth

Define the term Economic growth. (2 marks)

Economic growth is the increase in the total output of goods and services produced by a country from one year to the next, usually measured by the rise in real Gross Domestic Product (GDP).

(a)(iii) Economic development

Define the term Economic development. (2 marks)

Economic development is a wider idea than economic growth. It refers not only to an increase in the country's output, but also to improvements in the quality of life of its citizens, such as better health, higher levels of education, less poverty, fairer distribution of income and a cleaner environment.

6(b) Factors contributing to economic growth

Identify TWO factors which contribute to economic growth. (2 marks)

- An increase in the quantity and quality of the labour force, through population growth, education and training.
- An increase in capital investment in factories, machinery, roads and modern technology, which raises the country's ability to produce goods and services.

6(c) Improving the standard of living

Outline THREE ways in which a government could improve the standard of living of its citizens. (6 marks)

Providing better health and education services

When the government builds more schools, hospitals and clinics and trains more teachers, doctors and nurses, citizens become healthier and better educated. Healthy and skilled people can work better and earn higher incomes, which raises their standard of living.

Creating jobs and controlling prices

The government can encourage local and foreign investment, support small businesses and carry out public works such as road building, all of which create jobs. At the same time it can use price controls and competition policy to keep the prices of basic items reasonable, so that workers' incomes can buy more goods and services.

Providing good roads, water, electricity and security

By spending on roads, clean water, electricity, public transport and a good police service, the government makes daily life easier and safer for citizens. Better infrastructure also helps businesses to operate and grow, which creates further jobs and incomes and lifts the standard of living of the whole society.

6(d) Correcting an adverse balance of payments

Discuss TWO measures which governments could implement to correct an adverse balance of payments. (6 marks)

Reducing imports through tariffs, quotas and import substitution

The government can place high taxes (tariffs) on goods coming into the country and set quotas that limit the quantity of certain goods that may be imported. At the same time, it can encourage local businesses to produce goods that were previously bought from abroad, such as food and furniture. Because less foreign currency is spent on imports, the gap between the country's payments and its receipts is reduced.

Increasing exports and earnings from services

The government can give grants, tax breaks and training to local producers and exporters, and can promote tourism, financial services and other earners of foreign exchange. Trade missions and export agencies help local firms to find buyers overseas. As more goods and services are sold to other countries, the inflow of foreign exchange rises, which helps to wipe out the deficit on the balance of payments.

Question 7

7(a) Definitions

(a)(i) Public sector

Define the term Public sector. (2 marks)

The public sector is the part of the economy that is owned and controlled by the government. It includes government ministries, departments, statutory bodies and state-owned enterprises that provide services such as education, health, security, water and electricity.

(a)(ii) Unemployment

Define the term Unemployment. (2 marks)

Unemployment is the situation in which persons who are willing and able to work and are actively looking for jobs are unable to find them. The unemployment rate is the percentage of the labour force that is out of work at a given time.

(a)(iii) Foreign investment

Define the term Foreign investment. (2 marks)

Foreign investment is money brought into a country by individuals, businesses or governments from abroad and used to set up or buy into businesses, factories, hotels or other assets in that country, with the aim of earning a return.

7(b) Types of unemployment

Identify TWO types of unemployment. (2 marks)

- Structural unemployment, which occurs when workers' skills no longer match the jobs available because of changes in technology or the structure of industries.
- Seasonal unemployment, which occurs when workers are out of work during certain times of the year, for example sugar-cane cutters in the off-crop season or hotel workers during the low tourist season.

7(c) Government assistance to private sector businesses

Outline THREE ways in which governments can assist private sector businesses. (6 marks)

Providing financial assistance and tax incentives

The government can offer grants, low-interest loans through development banks and tax holidays to new and growing businesses. This makes it easier for businesses to find the capital they need and reduces their costs in the early years.

Providing infrastructure and a stable economic environment

By building good roads, ports, airports, water, electricity and reliable telecommunications, the government makes it easier and cheaper for businesses to operate. Keeping inflation, interest rates and crime under control also creates a stable environment in which private businesses can plan and invest with confidence.

Providing training, advice and access to markets

The government can run training programmes for workers and managers, offer business advisory services through agencies such as a small business development centre, and help local firms to find markets at home and abroad through trade fairs and export promotion. This raises the quality and competitiveness of private sector businesses.

7(d) Benefits of FDI to the host country

Discuss TWO benefits of foreign direct investment (FDI) to the host country. (6 marks)

Creation of jobs and transfer of skills

When foreign companies set up factories, hotels or branches in the host country, they hire local workers and train them in modern methods of working. This reduces unemployment, raises incomes and gives local workers and managers new skills and experience that they can later use in other businesses or in setting up their own. The whole labour force becomes more productive over time.

Inflow of foreign exchange and contribution to government revenue

Foreign investors bring large amounts of foreign currency into the country to build their plants and to operate them, and they often export part of their output, which earns even more foreign exchange. They also pay company taxes, customs duties and other fees to the government, which provides money for spending on schools, hospitals and roads. The host country's economy therefore grows faster and is better able to pay for needed imports.